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Absa Kenya HY'25 Earnings Note

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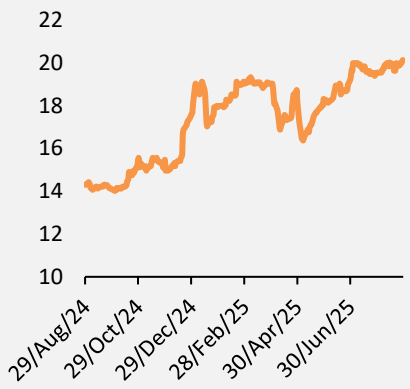


ABSA Bank HY'25 Earnings Note

September 1st, 2025

Ticker Information	
NSE Code:	ABSA
Issued Shares (Bn):	5.43
52-week high:	KES 20.10
52-week low:	KES 10.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	3.1%	10.4%	5.5%	40.6%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 20.10	KES 21.61

Summary

- **ABSA Bank reported a Profit After Tax (PAT) of KES 11.68 Bn, representing a 9.1% y/y increase from KES 10.71 Bn recorded in HY'2024.** The performance was largely supported by a significant reduction in impairment charges, which declined by 37.9% y/y to KES 3.21 Bn. We opine that the reduction was a tactical move, aligned with the bank's strategy of lowering lending rates in anticipation of reduced repayment distress. Consequently, total operating costs fell by 11.5% y/y to KES 14.66 Bn, supporting margin expansion. However, revenues waned slightly, with net interest income declining by 2.9% y/y to KES 22.34 Bn. We attribute this to the 700-bps reduction in the lender's base rate to 10.0% from 17.0% by the close of H1, as the bank passed on the benefits of a looser monetary policy to borrowers.

Key Highlights

- **Earnings Mix:** In the review period, interest income generated by loans and advances slowed by 14.7% y/y to KES 22.38 Bn from KES 27.35 Bn, which coincides with loan book contraction as well as an easing interest rate environment in the country. Interestingly, interest income from government securities recorded a sharp 53.7% y/y surge to KES 6.62 Bn, which overall cushioned the net interest income. Non-Funded Income increased by 3.3% y/y to KES 9.12 Bn from KES 8.83 Bn, driven by the bank's growing bancassurance wing, brokerage and asset management business. Meanwhile, a stable Kenyan shilling continued to suppress FX trading income, which dropped by 14.0% y/y to KES 3.14 Bn from KES 3.65 Bn. In line with easing monetary policy, the cost of funds declined by 0.6% points to 4.3%, which we link to a significant 24.6% drop in interest on customer deposits to KES 6.66 Bn from KES 8.84 Bn.
- **Asset Quality:** Gross Non-Performing Loans (NPLs) picked up, increasing by 12.3% y/y to KES 44.2 Bn, pointing to borrower distress. Consequently, the Gross NPL ratio inched up 1.8% points to 13.2% but remained below the industry average. Despite a 4.2% increase in provisions to KES 20.8 Bn, the NPL coverage ratio dropped by 2.0% to 65.7%, on account of the rising NPLs.

Balance Sheet Dynamics

Total assets grew by 10.4% y/y to KES 531.58 Bn from KES 481.42 Bn; government securities did the majority of the movement, growing by a significant 70.3% y/y to KES 162.36 Bn. In our forecast earlier in the year, we expected the loan book to start expanding through the year, pricing in lower lending rates and credit demand which had slowed down on the back of higher lending rates in 2024. However, this fell short of projections as the loan book recorded a 3.6% y/y decline to KES 304.94 Bn. We expect the loan book to expand going into the year as the revised credit pricing model comes into play. On the liabilities side, total deposits posted a modest 2.3% y/y growth to KES 361.34 Bn from KES 353.34 Bn. The lender noted an increased appetite for investment products (which are higher yielding) compared to term deposits, which they traced to a 100.0% increase in Assets Under Management (to KES 30.4 Bn in H1'2025 from 15.2 Bn), by the asset management side over the same period under review. The preferably desired Current and Savings Accounts (CASA) deposits (cheaper compared to term deposits) rose by 7.0% to account for 63.0% of the total customer deposits.

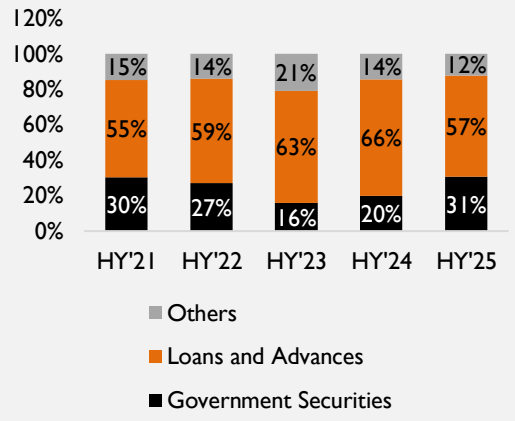
Outlook

We remain positive on ABSA's growth trajectory, supported by its well-diversified business model. The bank's asset management arm continues to display resilience, while the bancassurance unit and strategic partnerships particularly with key diaspora remittance players are expected to strengthen Non-Funded Income (NFI) streams. On the core lending business, we expect momentum to pick up as lending rates ease, supporting a rebound in loan book growth. The bank's prudent risk management remains commendable, with the Gross NPL ratio consistently below the industry average of 17.6%. Additionally, digitization is set to play a pivotal role in driving efficiency and expanding client reach. Notably, ABSA's investment in technology increased to KES 4.0 Bn in 2025 from KES 3.3 Bn in 2024. This is expected to enhance operational efficiency, support margin expansion, and sustain the bank's position as the industry leader in digital lending, evidenced by the lowest loan loss ratio in digital lending.

Recommendation

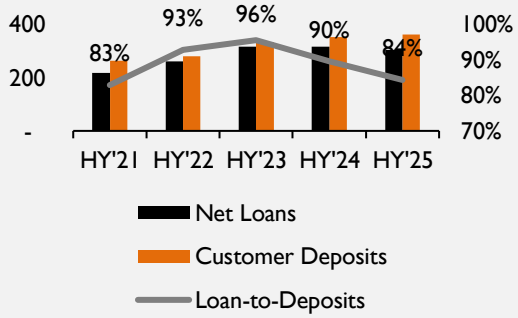
- **We maintain our *BUY* recommendation on ABSA Bank Kenya on account of growth momentum, progressive dividend policy, and revenue diversification .** At the current market price, the stock is trading at P/E ratio of 5.1x and a P/B ratio of 1.2x. Our one-year target price for ABSA currently stands at KES 21.61- representing a c.7.5% upside potential from current levels.

Chart 2: Asset Composition



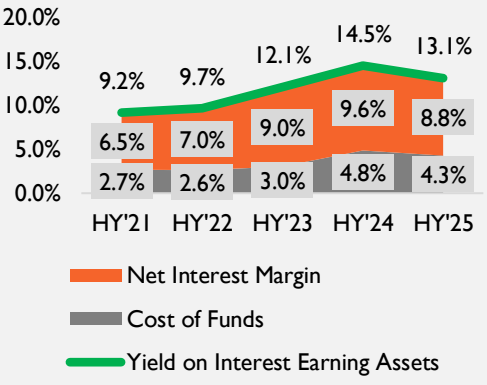
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Softening Cost of Funds



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Net Interest Income	12.00	14.43	19.22	23.00	22.34	▼ (2.9%)
Net non-Interest Income	5.85	6.48	8.14	8.83	9.12	▲ 3.3%
Total Operating income	17.84	20.91	27.36	31.83	31.46	▼ (1.2%)
Provision for Impairment	(1.94)	(2.96)	(5.16)	(5.17)	(3.21)	▼ (37.9%)
Total Operating expenses	(9.89)	(11.79)	(15.29)	(16.56)	(14.66)	▼ (11.5%)
Profit before tax	7.95	9.11	12.07	15.27	16.80	▲ 10.0%
Profit after tax	5.57	6.29	8.31	10.71	11.68	▲ 9.1%
Annualized EPS	2.05	2.32	3.06	3.94	4.30	▲ 9.1%
DPS	-	0.20	0.20	0.20	0.20	-

Balance Sheet (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Government Securities	121.27	120.76	80.73	95.34	162.36	▲ 70.3%
Loans and Advances	218.87	261.54	317.95	316.37	304.94	▼ (3.6%)
Total Assets	398.15	445.29	503.74	481.42	531.58	▲ 10.4%
Customer Deposits	263.94	281.67	332.60	353.34	361.34	▲ 2.3%
Total Liabilities	346.18	389.05	440.00	408.40	442.58	▲ 8.4%
Shareholder's Funds	51.97	56.24	63.74	73.03	89.00	▲ 21.9%

Ratio Analysis	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Spreads Analysis						
Yield on Assets	9.2%	9.7%	12.1%	14.5%	13.1%	▼ (1.4%)
Cost of Funds	2.7%	2.6%	3.0%	4.8%	4.3%	▼ (0.6%)
Net Interest Margin	6.5%	7.0%	9.0%	9.6%	8.8%	▼ (0.8%)
ROaE	19.3%	21.4%	27.7%	27.5%	27.0%	▼ (0.5%)
ROaA	2.3%	2.7%	3.5%	3.8%	4.3%	▲ 0.5%
Profit Margin	31.2%	30.1%	30.4%	33.6%	37.1%	▲ 3.5%
Operating Efficiency						
Cost to Income Less LLP	44.6%	42.3%	37.0%	35.8%	36.4%	▲ 0.6%
Cost to Assets Less LLP	2.0%	2.1%	2.1%	2.3%	2.3%	▼ (0.1%)
Loan to Deposit Ratio	82.9%	92.9%	95.6%	89.5%	84.4%	▼ (5.1%)
Asset Quality						
Gross NPL Ratio	7.9%	7.1%	9.5%	11.5%	13.2%	▲ 1.8%
NPL Coverage	70.9%	78.5%	69.4%	67.7%	65.7%	▼ (2.0%)
Cost of Risk	0.9%	1.1%	1.6%	1.6%	1.1%	▼ (0.6%)
Capital Adequacy						
Core Capital/TRWA	14.7%	14.0%	13.5%	14.8%	17.6%	▲ 2.8%
Total Capital /TRWA	17.3%	16.4%	17.7%	18.6%	20.5%	▲ 1.9%
Liquidity	38.3%	30.3%	28.7%	35.2%	45.5%	▲ 10.3%



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